

which he was unintentionally aided by Nicholas Biddle of Philadelphia. As head of the Bank, Biddle called on the local country banks with elitist, righteous, and generally offensive vigor to make good on their notes. In consequence, the charter of the Second Bank, like that of the First, was not renewed. Nearly a century would pass before a central bank would again be tolerated in the United States. Soon new banks and bank notes flooded onto the scene. The stage was set for the next speculative episode, which was to end in the crash of 1837.

This speculative bubble was once again in real estate, especially in the West and including claims on the public lands, but it extended to manufacturing enterprises and commodities as well. It was financed by the borrowing of the notes proliferated by the ever-increasing number of banks. But now there was also a new source of financing.

Internal improvements, as they were called, became a major investment opportunity. These, notably canals and turnpikes, addressed the great distances and formidable landscape over which it was necessary for the products of farm, mine, and factory to travel in the new republic. The states took up the task of finding the funds; these proved to be available in volume from Britain. Money moved in unprecedented amounts across the Atlantic, and without question it contributed affirmatively to the construction of transportation facilities. But it also contributed to an explosive boom in business and employment and to a rush to share in the appreciating property values.

In 1837 came the inevitable disenchantment and collapse. A period of marked depression again ensued. This episode did, however, have two new features—one of them of continuing significance today. It clearly left behind the improvements, notably the canals, which had been the source of the speculative enthusiasm. And it introduced a distinctly modern attitude toward the loans that were outstanding: in the somber conditions following the crash, these were viewed with indignation and simply not repaid. Mississippi, Louisiana, Maryland, Pennsylvania, Indiana, and Michigan all repudiated their debts, although there was some mild later effort at repayment. Anger was expressed that foreign banks and investors should now, in hard times, ask for payment of debts so foolishly granted and incurred. A point must be repeated: only the pathological weakness of the financial memory, something that recurs so reliably in this history, or perhaps our indifference to financial history itself, allows us to believe that